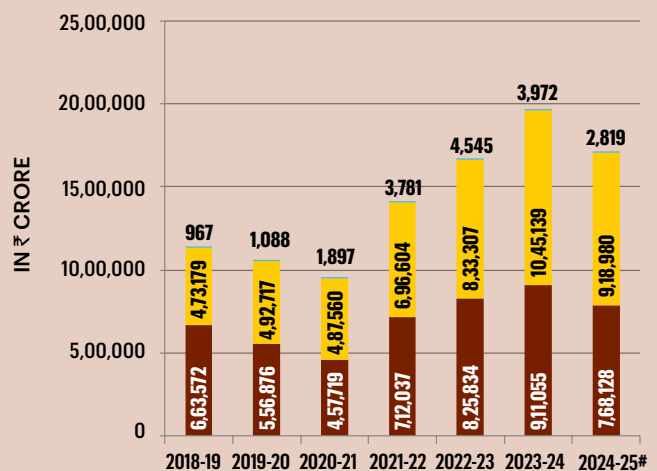


THE RISE AND RISE OF NON-CORPORATE INCOME TAX

DIRECT TAX COLLECTIONS

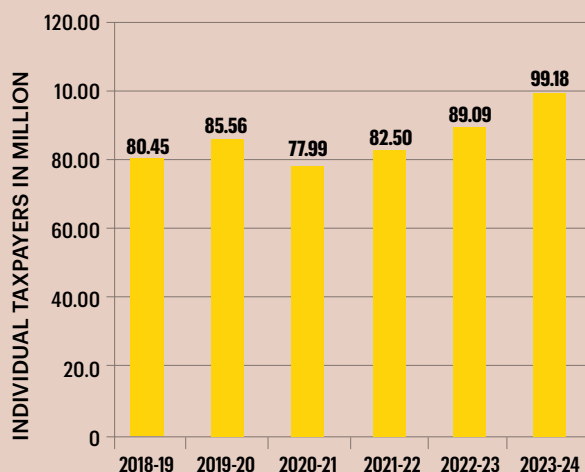
● Personal income tax collections have overtaken corporate tax collections since 2022-23



■ CORPORATE TAX ■ PERSONAL INCOME TAX ■ OTHER DIRECT TAXES
 # APR 1, 2024, TO JAN 12, 2025 * FIGURES FOR PERSONAL INCOME TAX INCLUDE SECURITY TRANSACTION TAX
 SOURCE CBDT

NUMBER OF INDIVIDUAL TAXPAYERS

● Number of individual taxpayers has increased by 18.9% between AY19 and AY23 to 99.1 million



NOTE A "TAXPAYER" IS A PERSON WHO EITHER HAS FILED A RETURN OF INCOME FOR THE ASSESSMENT YEAR OR IN WHOSE CASE TAX HAS BEEN DEDUCTED AT SOURCE IN THE RELEVANT FINANCIAL YEAR

that influences investment decisions by companies.

Rakesh Nangia, Founder and Managing Partner of tax advisory firm Nangia & Co, points out that India's rising PIT collections indicate an expanding taxpayer base and improved compliance, which alleviate immediate pressure for significant rate cuts. This underlines the importance of a cautious approach to PIT reforms to avoid a potential revenue shortfall.

"At the same time, India's economic landscape presents additional challenges, with retail inflation rising to 6.2% in October, well above the Reserve Bank of India's target of 4%. Inflationary pressures driven by global conflicts like the Russia-Ukraine war and elevated oil and gas prices have strained household budgets," Nangia says. He adds that higher food prices and borrowing costs have weakened urban consumption, a critical component of private consumption that accounts for roughly 60% of the GDP.

Nangia says targeted measures providing relief to middle- and lower-income taxpayers to boost consump-

tion are the need of the hour. "Periodic adjustments to income tax slabs to account for inflation would preserve real income levels and enhance disposable income. Similarly, an increase in the standard deduction could directly benefit the salaried taxpayers, aligning with the government's emphasis on financial inclusion and demand-led growth," he says.

As a means to stimulate demand and alleviate inflationary pressures alongside targeted reforms on PIT, Nangia suggests that the Budget can consider complementary measures such as increased rural employment spending through the Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS), agricultural income support, and rationalised GST rates on essentials. These initiatives, alongside targeted PIT reforms, can stimulate demand, alleviate inflationary pressures, and foster equitable economic growth while safeguarding fiscal stability.

To be fair, Budget 2024-25 did announce a few sops for individual taxpayers, but the cumulative impact of